

1.8 UNCLASSIFIED

2007/CE/I/10(a)

Typhoons affect the production activities of economies.

It is given that the gross domestic product of Hong Kong per day is HK\$3.3 billion. When the typhoon signal number 8 is hoisted, the daily economic loss is estimated to be less than HK\$3.8 billion. Give **TWO** reasons to explain why. (4 marks)

2008/CE/II/11(d)

Suppose a country's export value of goods and services decreases by \$3 billion. In reality, the resulting decrease in GDP may be less than or more than \$3 billion.

- (i) Explain a factor that would lead to a less-than \$3 billion decrease in GDP. (3 marks)
- (ii) Explain a factor that would lead to a more-than \$3 billion decrease in GDP. (2 marks)

2016/DSE/II/11(a)

Medical service is one of the basic human needs.

Source A: a conversation outside a public clinic in Hong Kong

Son: Dad, I feel very ill.

Father: Oh no! There is a long queue waiting.

Son: Why don't we go to a private doctor?

Father: The fee charged by public clinics is only \$45, much lower than that charged by private doctors.

Refer to Source A. When a public clinic provides medical service for one patient, the resulting rise in gross domestic product will be \$45. Do you agree? Explain. (3 marks)

2018/DSE/II/11

To develop nuclear weapons and increase the military power, Country Z has raised the proportion of government spending on national defence from 10% to 20%. All males aged from 20 - 25 are also required to join the military force for 2 years.

In response to the increasing military threat from Country Z, the United Nations has passed a bill to embargo most of the goods exporting from Country Z.

Analyse the effects of the above situation on Country Z's general living standard. (3 marks)